Alphabet Inc.

GOOGL NASDAQ

Buy	$284.14 ▼ 1.66%	12M Price Target $335.00	52-Week Range $270.70 – $408.61	Market Cap $3.49T

GOOGL: AI Capex Boom Meets Profit-Taking Jitters

WHAT HAPPENED

- GOOGL got caught in a broader AI-trade selloff — down 1.66% to $284 after yesterday's pop to $289. The trigger isn't company-specific; it's the market suddenly worrying that AI capex (capital spending on chips, data centers) is getting too frothy, which is also why Caterpillar and industrials are getting hit (they sell the equipment that builds these data centers).
- Two headlines reinforce how big GOOGL is going on infrastructure: a $17B Wyoming data center and a potential stake in TeraWulf's $19B AI project. Translation — Google is doubling down on owning the physical plumbing of AI, not just the software.

WHY IT MATTERS

The selloff is sentiment, not fundamentals — options flow is actually mixed-to-bullish (big $290 call buying alongside the puts), and the stock is still only 10% off its 52-week low range, which tells me institutions aren't dumping. The real story is that Alphabet is transforming into a hybrid software + infrastructure monster, and every $17B data center announcement is essentially a bet that AI demand compounds for a decade. Here's what to watch: if peers (Microsoft, Meta, Amazon) keep announcing matching capex, the "AI bubble" narrative gets louder and the stock stays range-bound short-term — but long-term this entrenches GOOGL's moat because smaller competitors literally cannot afford to compete at this scale. The California youth social media law challenge is noise unless it becomes a template for federal action.

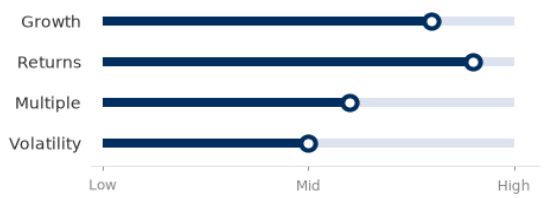
POLICY & POLITICAL WATCH

Two policy threads matter right now: (1) the DOJ antitrust remedy phase on Search is still overhanging the stock — if forced divestiture of Chrome or default-search payments gets reimposed on appeal, that's a real earnings hit, but markets have largely priced in a milder outcome. (2) On the tailwind side, the administration's AI infrastructure push — including fast-tracked permitting for data centers and energy projects — is directly why GOOGL can credibly commit $17B to Wyoming (cheap power, friendly state) and partner with TeraWulf (nuclear + crypto-mining power infrastructure being repurposed for AI). Also watch the California youth social media lawsuit — if GOOGL loses, expect a patchwork of state laws that raises compliance costs but likely entrenches big players over startups.

IS IT EXPENSIVE?

Key Data	
Price (USD)	**$284.14**
12M Price Target	**$335.00**
Upside / (Downside)	**+17.9%**
Market Cap	**$3.49T**
FY2026E Revenue	**$410M**
FY2027E Revenue	**$470M**
FY2026E EPS	**$9.85**
FY2027E EPS	**$11.70**
Fwd P/E	**28.8x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$300.00**	$288.00	**$270.00**
6 Months	**$340.00**	$310.00	**$255.00**
1 Year	**$380.00**	$335.00	**$240.00**
2 Years	**$450.00**	$390.00	**$260.00**
5 Years	**$650.00**	$500.00	**$300.00**
10 Years	**$1000.00**	$720.00	**$350.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Comm Services (+3.3% over 5 days) is holding up relatively well despite today's dip — policy support for domestic data infrastructure is a real tailwind for the mega-caps.

COOLING OFF: Energy (-8.7% over 5 days) and Healthcare (-1.85% today) are under pressure — energy from softer commodity prices, healthcare from policy/rate concerns.

ROTATION WATCH: Money is rotating OUT of AI-adjacent industrials (Caterpillar getting hit) and defensive sectors, but not out of mega-cap AI yet — that's a tell that institutions still view GOOGL/MSFT as the "safe" AI exposure.

RELATED PLAY: Data center REITs (EQIX, DLR) and power infrastructure plays (VST, CEG) are the second-order beneficiaries — every GOOGL data center announcement is literally a check written to these guys.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Co-winner in enterprise AI with Azure growth; benefits from the same infrastructure boom.
- META (Meta): Massive capex commitment is being rewarded because ad revenue funds it without debt — similar profile to GOOGL.

GOOGL CONTEXT: GOOGL is roughly middle-of-pack among mega-cap AI names — not leading like META's monster year, but not a laggard either. The stock sitting at only 10% of its 52-week range tells me it's been consolidating, which often precedes a breakout IF the next earnings print confirms Cloud acceleration.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — High conviction on the long-term story; today's weakness is noise, not signal.

POSITION SIZE: 4-6% — big enough to matter, small enough that antitrust surprise doesn't wreck you.

ENTRY POINTS: Add on dips to $275-282; if we get a broader AI selloff to $265, back up the truck.

TIME HORIZON: 12-24 months — the catalyst is Cloud revenue acceleration and antitrust resolution, both landing in that window.

WHEN TO BAIL: Cloud growth drops below 20%, forced Chrome divestiture, or capex guidance that isn't matched by revenue traction within 2-3 quarters.

HEDGING: Buy a small amount of downside insurance (put options) if you're nervous about antitrust headlines, or balance with a cheaper non-AI name so you're not 100% exposed to the AI trade unwinding.

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